

# Ch #8

→ should be updated according to changes in their environment

## Marketing Plan

⇒ written document, report or roadmap which provides info related with the

Definition: strategy, marketing activities & marketing approach.

⇒ The marketing plan focuses on all marketing activities

of a venture for one year or more.

⇒ The marketing plan will vary significantly for a firm depending on the industry, target market, and the size and scope of the organization

⇒ It is integral part of the business plan.

⇒ Primarily the marketing plan establishes how the entrepreneurs will effectively compete and operate in the marketplace and thus meet the business goals and objectives of the new venture.

⇒ It is designed to provide answers of three basic questions:

1. Where have we been?

2. Where do we want to go?

3. How do we get there?



⇒ Can be made for a product or for the entire organisation.

## Characteristics of a Marketing Plan:

⇒ The marketing plan should be designed to meet certain criteria. Some important characteristics that must be incorporated in an effective marketing plan are as follows:

- Should provide a strategy for accomplishing the company mission or goal.
- Should be based on facts and valid assumptions.
- Must provide for the use of existing resources.
- An appropriate organization must be described to implement the marketing plan.
- Should provide for continuity so that each annual marketing plan can build on it.
- It successfully meeting longer term goals and objectives.

Dynamic in nature  
- Continuity, sectionality & intelligence is use while making marketing plan.

- Should be simple and short.
- Continuous Process
- Should be flexible because the success of the plan should or may depend on its flexibility.
- Should be prepared by keeping in mind the future trends related with marketing plan.

⇒ Written statement of marketing objectives, strategies and activities to be followed in business plan. Good marketing plans have +ve impact on the growth & profit of the organisation. It should be updated according to changes in the marketing environment.

## Marketing system components

⇒ Interacting internal and external factors that affect venturers ability to provide goods and services to meet customer needs.



## Steps in Preparing the Marketing Plan:

⇒ The various stages involved in preparing the marketing plan. Each of these stages, when completed, will provide the necessary information to formally prepare the marketing plan.

### 1. Defining the business situation:

#### situation analysis:

⇒ Describes past and present business achievements of new venture.

⇒ After the start of the venture, information should relate to

- Present market conditions
- Performance of the company's goods and services
- Future opportunities or prospects

⇒ It respond to three questions:

- If the venture is new, the background will be more personal, describing how the product or service was developed and why it was developed.

- Any future opportunities or prospects should also be included in this section of the plan.

### 2. Defining the Target Market:

#### Opportunities & Threats:

How well does marketer know their target market? <sup>How well do they understand their needs?</sup>

Either from the industry analysis or from the marketing research done earlier, the entrepreneur should have a good idea of who the customer or target market will be.

⇒ Can they articulate what their customers & potential customers need as opposed to what they offer?

Knowledge of the target market provides a basis for determining the appropriate marketing action strategy that



⇒ All these ways to segment the market so that they can offer highly specialized products to various groups will effectively meet its needs.

⇒ The defined target market will usually represent one or more segment of the entire market.

### Market segmentation

⇒ The process of dividing the target market into small homogeneous groups.

⇒ it allows the entrepreneurs to more effectively respond to the needs of more homogeneous consumers.

⇒ Otherwise the entrepreneurs would have to identify a product or service that would meet the needs of everyone in the marketplace.

### Target market

⇒ Specific group of potential customers toward which a venture aims its marketing plan.

### ⇒ Process of segmenting and targeting customers

- o Decide on general market or industry to pursue.
- o Divide market into smaller groups based on:

o Characteristics of the customer - Geographic, demographic and psychographic

o Buying situation - Derived benefits, usage, buying conditions and awareness of buying intention.

o Select segment or segments to target

o Develop a marketing plan integrating product, price distribution and promotion



### 3. Consider the strengths and weaknesses in the target market

⇒ it is important for the entrepreneur to consider strengths and weaknesses in the target market.

⇒ An entrepreneur's evaluation of his or her venture's strengths and weaknesses would also vary if the market sought is international.

⇒ A lack of understanding of the culture and differences in consumer buying habits could be critical in any attempt to reach these markets.

### 4. Establishing Goals and Objectives

⇒ The entrepreneur must establish realistic and specific goals and objectives before outlining any marketing strategy decisions.

⇒ should be realistic, measurable & should be framed after proper research.

⇒ The marketing goals and objectives respond to the question: "where do we want to go?"

"what a marketer wants to achieve"

and should specify things:

- o Market share
  - o Profits
  - o Sales
  - o Market penetration
  - o Number of distributors
  - o Awareness level
  - o New product launching
  - o Pricing policy
  - o Sales promotion
  - o Advertising support
- ⇒ good statements, should be attainable & challenging

⇒ All the preceding goals and objectives are quantifiable and can be measured for control purposes.

⇒ However, not all goals and objectives must be quantified.



⇒ It is possible for a firm to establish such goals or objectives as research customer attitudes toward a product, set up sales training program, packaging, change name of product or find new distribution.

⇒ Limit the number of goals and objectives to between six and eight.

⇒ Too many goals make control and monitoring difficult.

⇒ Obviously, these goals should represent key areas to ensure marketing success.

⇒ "Statements of level of performance desired by a new venture"

### 5. Defining Marketing Strategy & Action Programs:

⇒ Once the marketing goals and objectives have been established, the entrepreneur can begin to

develop the marketing strategy and action plan to achieve them. These strategy and action decisions respond to the question:

"How do we get these?"

⇒ "Specific activities outlined to meet the venture's business plan goals and objectives".

#### Product or service:

o This element of the marketing mix indicates a description of the product or service to be marketed in the new venture.

o This product or service description may consider more than one physical characteristics.

#### Pricing:

o Prior to setting the price, the entrepreneurs, in the majority situations, will need to consider three important elements:



o Costs

o Margins

o Margins

o Competition

— Unique  
Characteristics  
in market

### Distribution

o This factor provides utility to the consumers.

o it makes a product convenient to purchase when it needed.

o Attributes of the product can also affect the channel decisions.

o Environmental issues may also be important in channel strategy.

o Major Considerations in

### Channel Selection:

o Degree of direction of channel

- market conditions

- Product attributes

- Cost benefits

- Venture attributes

o Number of channel members

- Intensive

- selective  
exclusive



Criteria in selecting channel members.

- Reputation
  - Services provided
- Number of channels
- one
  - Multiple

Promotion:

It is necessary for the entrepreneurs to inform potential consumers about the product availability or to educate the consumer, using advertising media such as print, radio, television, social media and electronic media.

The entrepreneurs should carefully evaluate each alternative medium not just considering costs but the effectiveness of the medium in meeting the marketing objectives mentioned in the marketing plan.



## 6. Marketing Strategy: Consumer Versus Business-to-Business Markets:

⇒ Marketing strategy decisions for a consumer product may be very different from the decision for a B2B product.

⇒ In B2B markets, the entrepreneur sells the product or service to another business that uses the product or service as part of its own operations.

⇒ In marketing to consumers the company uses direct mails and the internet.

⇒ Overall, the marketing mix for both consumer or business markets is the same.

## 7. Budgeting the marketing strategy:

⇒ Effective planning decisions must also consider the costs involved in the implementation of these decisions.

⇒ If the entrepreneur has followed the procedure of detailing the

- dependent on the scale of the activity

⇒ How much will the activities cost? Strategy and action programs to meet the desired goals and objectives, costs should be reasonably clear. If assumptions are necessary, they should be clearly stated so that anyone else who reviews the written marketing plan will understand these implications. Explain the assumptions which the forecast is based on.

⇒ This budgeting of marketing plan / action and strategy decisions will also be useful in preparing the financial plan.

## 8. Implementation of the market plan:

The marketing plan is meant to be a commitment by the entrepreneur to a specific strategy.

○ It is not a formality that serves as a superficial document to outside financial supporters or suppliers. ⇒ with each task, the person responsible for task & completion indicated date.

○ It is meant to be a formal vehicle.

## 9. Monitoring the progress of Marketing Actions:



- if some of strategies not work, determine what are the success criteria  
How will we measure the success of plan?

⇒ Generally, monitoring of the plan involves tracking specific results of the marketing effort.

- Sales data by product
- Territory - By monitoring program
- Sales rep one can judge the success
- Outlet of marketing plan.

are a few of the specific results that should be monitored

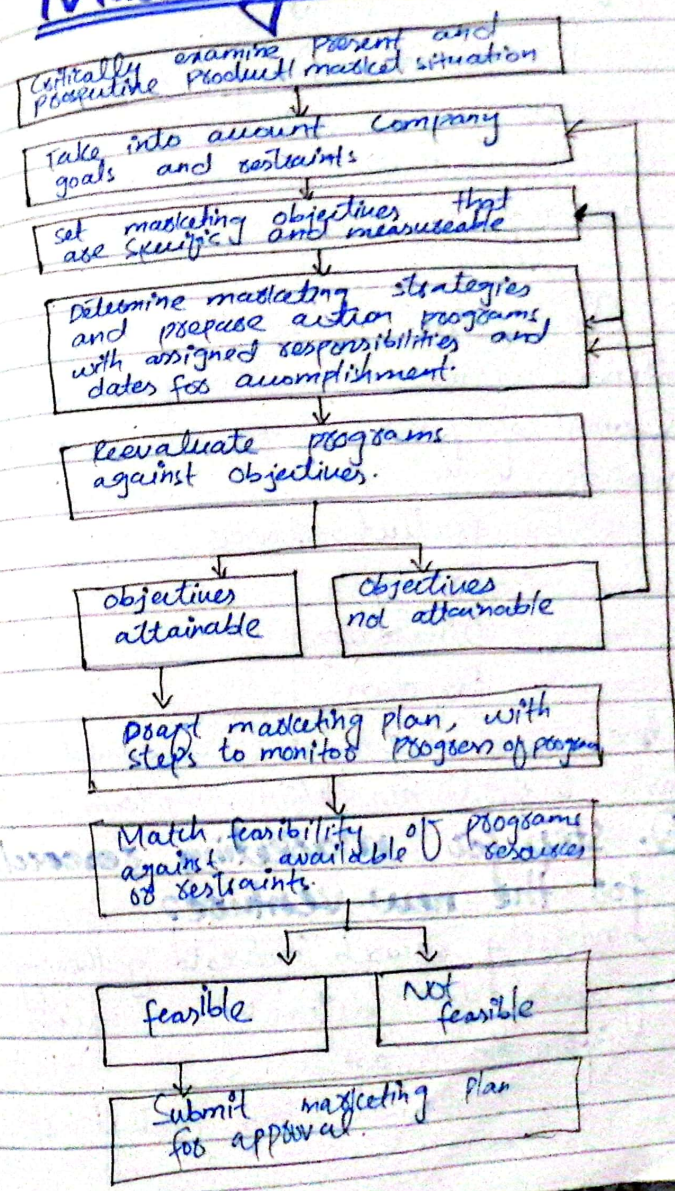
⇒ what is monitored is depended on the specific goals and objectives outlined earlier in the marketing plan.

⇒ Any "weak" signals from the monitoring process will provide the entrepreneurs with opportunity to succeed or modify the existing will provide the entrepreneurs with the opportunity marketing effort to allow the firm to achieve its initial goals and objectives.

⇒ Is the strategy flawed?  
Is there a problem with implementation?  
How can they be fixed & move on?

⇒ In addition to monitoring the progress of the existing plan, the entrepreneurs should also be prepared for contingencies.

## Sample of flowchart of a Marketing Plan





SO

→ Set of tools that uses to implement a marketing strategy.

## Define marketing mix?

→ Play imp role

⇒ Combination of product, price, promotion, and distribution and other marketing activities needed to meet marketing objectives.

⇒ The actual short term marketing decisions in the marketing plan will consist of four important marketing variables:

- o Product or service
- o Pricing
- o Distribution
- o Promotion

⇒ These four factors are referred to as the marketing plan.

## Q. Step for marketing research for the new venture?

⇒ marketing research involves to gathering of data to determine such information as

- o who will buy product or service?

- o what is the size of potential market?
- o what price should be charged?
- o what is the most appropriate distribution channel?
- o what is the most effective promotion strategy to inform and reach potential customers.

Step-1: Defining the purpose or objectives

Step-2: Gathering data from secondary sources

Step-3: Gathering information from primary sources

Step-4: Analyzing and interpreting the results

Q. What is difference between a business plan and a marketing plan?

| Business plan | Marketing plan |
|---------------|----------------|
| Purpose       |                |



- o outlines overall goals, strategies, and operations of the business.

### Scope

- o Comprehensive, covering various aspects of the business.

### Content

- o Mission, vision, target market, financial projections, organizational structure, competitive analysis, etc.

### Audience

- o Investors, stakeholders, internal decision-makers.

- o Specifies marketing strategy, tactics and activities.

- o Specific, focusing solely on marketing aspects.

### 4 Ps

- o Product, price, place, promotion, target audience, market research, branding, advertising, sales strategies, etc.

- o marketing team, internal stakeholders involved in the marketing efforts.

Use: securing funding, guiding decision making processes and operations.

### Time horizon

- o Long-term focus on business growth and sustainability.

### flexibility

- o Provides a framework for adapting to changes in the business environment.

Guiding marketing activities, measuring their success

- o Short to mid-term focus on marketing initiatives and campaigns.

- o Allows for the adjustments in marketing strategies based on market dynamics and consumer behavior.

## Q. Why do some marketing plan fails?

- o Lack of clear objectives
- o inadequate research
- o Poor Targeting audience
- o weak value proposition



- o Ineffective Communication
- o Budget constraints
- o Lack of Alignment b/w MP and BP
- o failure to adapt
- o Poor execution
- o Lack of monitoring and evaluation

### Elements of marketing plans:

- ⇒ Goals and objectives
- ⇒ market investigation
- ⇒ Target market
- ⇒ Positioning brand or products
- ⇒ Strategies or Tactics
- ⇒ Budget
- ⇒ Evaluation method

Why marketing plan is important?

↳ Backbone of any business

Generally organisation has to take different decisions related with market. These decisions are not random but is based on data.

### 7Ps of marketing:

